

EG Hungary: Magyar's cautious economic reset could advance the EU's China de-risking

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Hungary

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Magyar's cautious economic reset could advance the EU's China de-risking

Short-term trajectory:

Long-term trajectory:

* Prime Minister Peter Magyar's government is likely to give the EU an opportunity to advance its China de-risking efforts, as Tisza is unlikely to block stricter EU measures on Chinese investment, provided existing investments are protected.

* Magyar is seeking to diversify Hungary's economic model by ending subsidies for large foreign industrial projects and prioritizing higher value-added sectors, which would lower reliance on Chinese-led EV investment.

* A sharp anti-China pivot is unlikely, given the scale of existing Chinese investment and the jobs tied to EV projects, though Chinese investments will face greater scrutiny and stricter environmental and regulatory requirements.

Hungary's cautiously shifting China policy could support the EU's greater de-risking from China. Under Viktor Orbán governments, Hungary became the EU's most China-friendly member. Hungary vetoed resolutions critical of Beijing while opposing protective tariffs and restrictions on Huawei in critical infrastructure, effectively making Budapest China's most reliable ally inside the bloc. A policy shift therefore has implications beyond Hungary's borders, potentially removing a key obstacle to a tougher EU approach toward Beijing.

As discussions in Brussels and Berlin advance on de-risking from China—including tighter investment screening, enhanced export controls on sensitive technologies, and efforts to reduce strategic dependencies—Hungary's new government is cautiously moving away from its predecessor's position. Magyar is restructuring key institutions, including the Ministry of Foreign Affairs (MFA), and has yet to establish a fully developed China policy. Yet, the Tisza government is unlikely to obstruct a stricter European approach or prevent the EU from adopting more restrictive measures on Chinese investment.

However, neither Magyar nor Foreign Minister Anita Orban will want to be seen as too aggressively anti-China for three reasons: 1) they will not wish to antagonize China unnecessarily fearing economic retaliation; 2) they will not wish to unwind investments already made, thereby losing the expected jobs and export potential; and 3) Fidesz would likely attack Tisza with allegations of squandering the economic gains the former government secured for Hungarian workers.

Magyar will likely curb Hungary's EV investment push, risking future Chinese FDI. Since 2021, the Fidesz government has attracted approximately €26 billion in foreign investment, largely from Chinese and South Korean battery manufacturers. Hungary has consequently become one of Europe's largest battery production hubs, attracting major projects from companies such as CATL, BYD, EVE Energy, Huayou Cobalt, and Semcorp.

Magyar has argued for a more diversified economic model focused on strengthening domestic competitiveness, expanding higher value-added industries, and applying stricter environmental and governance standards to major industrial projects. This would likely end state subsidies for new EV and battery investments, particularly for large foreign-backed projects.

Chinese investments will suffer from Magyar's tighter domestic policies. The new Tisza government has an entirely different approach to investment in general and EV battery manufacturing in particular. First, it has vowed to stop subsidizing investments using state grants (except, indirectly, domestic SMEs), saying this was used as a form of corruption by political allies. Second, it has stepped up environmental checks on industrial investments, most particularly EV battery plants and their suppliers, and pledged to enforce anti-pollution (and, with somewhat less emphasis, health and safety) legislation. This is in direct contrast to the Fidesz government, which refused to meaningfully address a series of serious environmental complaints involving noise, light, and chemical pollution at EV plants.

These initiatives are not specifically intended to target Chinese companies, but given the scale of Chinese investment in Hungary, they will disproportionately impact them. This increased activity by the environmental authorities has already affected Chinese plants in the first weeks of the Tisza government's rule (most notably involving Semcorp's Debrecen facility).

China policy could become an early test of Magyar's foreign policy direction. Since taking over the MFA, Anita Orban has focused mainly on relations with the EU, NATO, Ukraine and Fidesz appointments throughout the diplomatic service—many of them nepotistic. She has said virtually nothing about Beijing. Her views on China's policy goals are unclear, although she surely has reservations.

If she or Magyar do harbor suspicions, they would still need to convince the public. China's soft power in Europe (aided by Fidesz) has left public opinion in Hungary relatively favorable towards China. A survey by the Policy Solutions think tank conducted in late 2025 found only 31% of the population perceived China as a danger, while 47% considered Russia a threat and antipathy towards Ukraine reached 50%.

Any policy stance against China that risks jobs in Hungary would almost certainly attract criticism from Fidesz. This alone would likely have limited effect on Tisza's popularity, but Magyar will try to avoid it nonetheless.

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